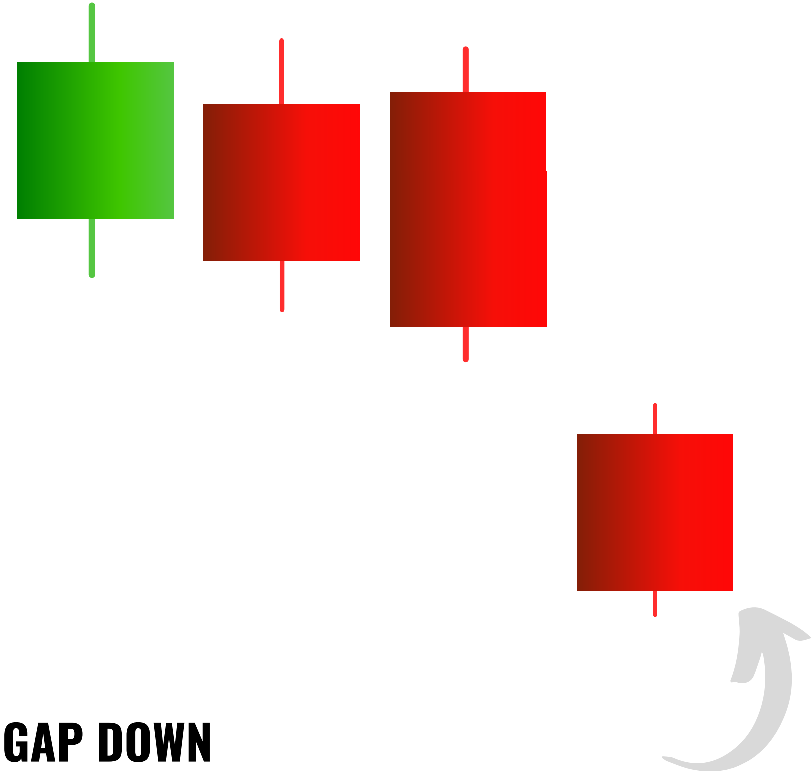
Pattern 2 GAP UP & GAP DOWN

This is a straightforward pattern where the market opens with a gap that is significantly higher or lower than the previous day's closing and candle.



GAP DOWN

Gap downs occur when the open of the market is significantly lower than most of the previous days' candle body. This happens when bad news hits the market after the trading hours.

GAP UP

In case of gap up, the open for the next day is higher than the candle body of the previous day by a significant margin. This indicates that the bulls have solid control over the market if a gap up occurs amidst an uptrend. Gap ups are common when the good news about the asset hits the market post market hours.